protecting the autonomy of not just the Reserve Bank but of all financial sector regulators. In an article titled ‘Subbarao learns to call a spade a spade’, the *Economic Times* of 4 July 2010 wrote: ‘Mr. Subbarao’s public expression of displeasure has put to rest months of speculation on where his heart lies. The Mint Street clearly trumps North Block.’

On the flip side, some people thought that the Reserve Bank’s concerns were unrealistic and that we were seeing a deep conspiracy where none existed. Some had alleged that the Reserve Bank was simply fighting a turf battle under the cover of a grand cause. There were a few comments about how it was governors who were drawn from the IAS that had problems managing differences with the government, whereas the non-IAS governors evidently had no trouble in functioning independently or in establishing a harmonious working relationship with the government. In its editorial titled ‘RBI’s Consternation’, the *Hindu BusinessLine* of 14 July 2010 wrote: ‘Nor is it a coincidence that the RBI which is the oldest of the financial sector regulators by far has always exhibited a predilection for greater independence when non-IAS officers have been governors . . . It is the regulatory heads from the IAS who have problems with the notion of standing up to the government which is understandable because it is hard suddenly to jettison your *sanskaras* (training).’

The Reserve Bank’s locus standi on this issue was also called into question on the argument that initiating a legislation was the government’s prerogative and that the Reserve Bank could not demand to be consulted on every legislation relating to it. This last bit of criticism was clearly misinformed because we were not questioning the government’s prerogative to initiate legislation; nor were we demanding that the Reserve Bank be consulted. We were agitating against the content of the proposed legislation as an interested party.

The media saw blood and sensationalized the stand-off between the government and the Reserve Bank. The issue was, of course, serious but the actual ‘battle’ was much less dramatic. Far from being annoyed or agitated, Pranab Mukherjee was gracious and understanding about the whole matter. He invited me to a meeting in Delhi where we had a very frank and cordial